

ics envy and study history more), patterns matter.

More structurally, Trump's incoming team has already linked any easing on potential and existing tariffs to the Chinese appreciating the RMB (Mar-a-Lago accord, it is being called, with the nomenclature being unfortunate as Xi would not be seen as bending the knee.) While that is easier said than done, given Plaza's historiography with respect to the Japanese bubble and China's own internal dynamics, ultimately only that would be a sustainable solution.

Coming to India, it may be difficult to believe given the USD-INR headlines, but the rupee is at multi-decade broad real highs as per multiple indicators. Indian macro is rock

solid, perhaps a tad conservative, and it moved on industrial-trade-manufacturing policy in Trump's first term and has since refined its policies further.

Under Modinomics, infrastructure investments have been emphasised while India skillfully manages the other great powers in its foreign policy. Finally, Indians are becoming more inter-linked, which leads to a more coherent civilisational state.

The last time the dollar depreciated (2002-11), the rupee in real terms appreciated around 60% against it. But then we had no inflation targeting; now we do. This time around, the rupee is likely to appreciate in nominal terms too—a possibility very few seem to entertain as many

of the cyclical contra views on the dollar have been early (aka wrong, including mine.) A rupee that rises optically too would lead to even more foreign flows, on top of the domestic investor pool.

Moreover, Trump's leverage against India is relatively limited. Delhi, unlike Beijing, has given a near carte blanche to US Big Tech, which is what truly makes American companies “global” as opposed to just “Western”. While Indian IT/GCCs also rely on US MNCs, there is no real alternative to India's deep and cheap talent pool.

Just like China kept parts of US Big Tech out but still dominates manufacturing exports, India's service exports dominance is not due to the largesse of any one power. On the other hand, software is where Indian talent and capital can rapidly scale up, given the size and growth of the Indian market if prioritised access is given.

In cost-of-living adjusted or PPP terms, the Chinese economy is already bigger than America's and India is more than half the latter's size. As the East rises, Asian currencies will also appreciate—structurally as well as cyclically.

China is already dominating the entire EV-solar supply chain, while Indian potential (with already the world's highest growth rate amongst major economies) should not be underplayed either. All emerging and frontier markets are currently struggling, but the cycle will turn soon—this time led by India and Southeast Asia.

American exceptionalism will not die any time soon—a country that can produce both SpaceX and Saturday Night Live should not be bet against. But there will be two more giants on the global stage, and faster than current linear extrapolations suggest. **BT**

Views are personal

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